

IRAN, ISLAMIC REPUBLIC

Recent developments

Table 1 **2019**

Population, million	82.8
GDP, current US\$ billion	463.3
GDP per capita, current US\$	5594
Upper middle-income poverty rate (\$5.5) ^a	10.9
Gini index ^a	40.8
School enrollment, primary (% gross) ^b	110.7
Life expectancy at birth, years ^b	76.3

Source: WDI, Macro Poverty Outlook, and official data.

Notes:

(a) Most recent value (2017), 2011 PPPs.

(b) Most recent WDI value (2017).

Iran's economy contracts for a second consecutive year in 2019/20 due to the tightening of US sanctions and despite growth in some non-oil sectors. Inflation and unemployment remain high compared to regional averages. The fiscal deficit has widened due to underrealized revenues as the current account surplus diminished. Iran has been severely impacted by the COVID-19 pandemic which combined with the recent decline in global oil prices and stringent economic sanctions present significant risks to the country's economic outlook.

The recession in Iran accelerated in 2019/20 as US sanctions progressively tightened. Iran's GDP contracted by 7.6 percent (yoy) in the first 9 months of 2019/20 (Apr-Dec 2019) largely due to a 37 percent decline in the oil sector. Since the reintroduction of US sanctions in 2018, oil production has dwindled reaching a record low of 2 mbpd in December 2019. Non-oil GDP growth in Apr-Dec 2019 was close to zero (yoy), a marginal improvement compared to the sector's 2.1 percent contraction in 2018/19. In the same period, non-oil industries grew by 2 percent (yoy) driven by construction and utilities sectors while services value-added contracted by 0.2 percent. The recent COVID-19 outbreak has significantly disrupted trade, tourism and retail business during the busiest period for travel and commerce (Iranian New Year).

All major components of GDP (expenditure side) are contracting, pointing to a broad-based recession. Private and government consumption declined by 6 percent and 2.4 percent (yoy) respectively in Apr-Dec 2019 while inventories grew by 56 percent (yoy). In the same period, investment shrank by 2.6 percent (yoy) despite construction investment growing by 9.6 percent (yoy). Exports and imports declined sharply by 32.6 and 27.1 percent (yoy) respectively due to trade restrictions.

The recent downward inflation trend and slower depreciation of the rial is likely to reverse with COVID-19. Consumer price

inflation declined to 25 percent (yoy) in February 2020, down from a peak of 52.1 percent in May 2019, as the base effect of sanctions declined. After August 2019, the rial depreciated more moderately in the open market. However, the currency depreciated by 10 percent in under a month since the first cases of COVID-19 were confirmed in Iran.

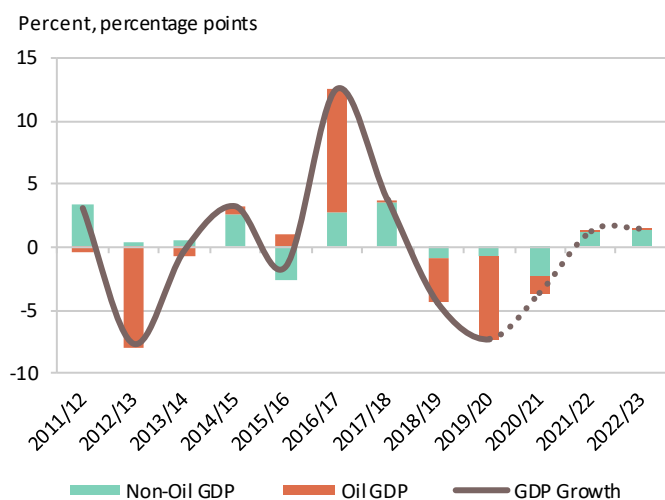
The current account surplus has almost entirely faded despite continued decline in imports. The non-oil trade balance in Apr-Dec 2019 registered a small surplus despite imports falling by US\$1.2 billion (yoy) The current account surplus in 2018/19 had increased to US\$26.7 billion (highest amount since 2011/12) as goods imports contracted by almost 20 percent nominally.

The fiscal deficit has widened as non-tax revenues have come under pressure. The under realization of government revenues compared to the budget targets indicate a widening fiscal deficit in 2019/20. Revenues from disposal of capital assets (mainly oil export revenues) registered 18 percent realization in Apr-Nov 2019.

Lower economic activity contributed to unemployment marginally improving in Oct-Dec 2019. The unemployment rate declined to 10.6 percent in Oct-Dec 2019, down from 11.8 percent a year earlier while labor force participation edged down from 44.5 percent to 44.3 percent.

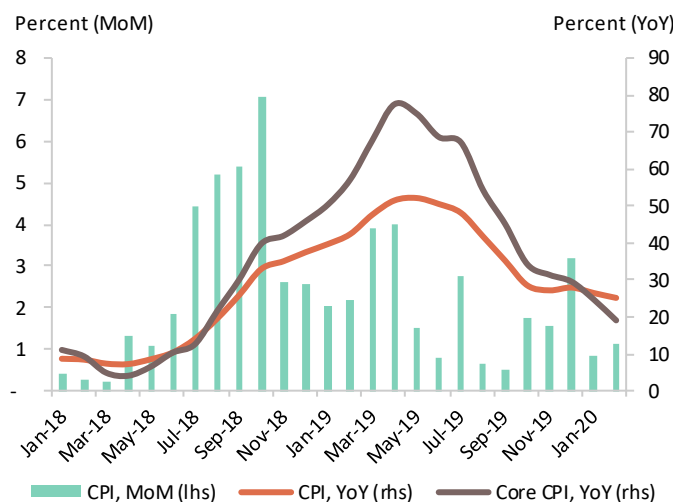
Poverty in Iran, measured at the World Bank's upper middle-income threshold of US\$5.5 per day (2011 PPP), increased moderately between 2013-2017. This negative trend in wellbeing was mainly associated with the erosion of cash transfers in real terms.

FIGURE 1 Islamic Republic of Iran / Real GDP growth and sectoral contributions to real GDP growth



Sources: CBI, SCI and World Bank staff calculations.

FIGURE 2 Islamic Republic of Iran / Consumer price inflation (monthly and annual)



Sources: SCI and World Bank staff calculations.

Outlook

Facing a growing pandemic, low oil prices and increasing sanctions, Iran's GDP growth is projected to remain subdued in 2020/21-2022/23. The baseline outlook is primarily driven by COVID-19 outbreak reducing oil and non-oil GDP in 2020/21 and two subsequent years of modest recovery. Oil production in 2021/22 and 2022/23 is expected to grow in line with long term domestic consumption growth. The fiscal deficit is projected to widen as revenues fall short of targets and COVID-19 adds to expenditures. The 2020/21 draft budget, though contractionary in real terms, relies on optimistic assumptions. The expected widening budget deficit especially in light of COVID-19 and other exogenous shocks are likely to lead to further debt issuance and withdrawals from strategic reserves.

The current account balance is projected to be in deficit due to trade restrictions and oil market dynamics. Non-oil exports are expected to fall short of total imports as oil exports flatline (assumed at 500 thousand bpd under the baseline in 2021/22 and 2022/21). However, low external debt (under 3 percent of GDP) limits external financing exposures.

While Covid-19 is expected to add to inflationary pressures, inflation is expected to follow a downward trend due to weak demand. Headline inflation is expected to remain above 20 percent due to pressures on foreign exchange reserves and projected fiscal deficits.

With negative economic growth and high inflation, compounded by higher gasoline prices in November 2019, poverty may increase in 2019/20. COVID-19 outbreak in 2020 will have long-lasting economic and social impacts as well, most probably through the labor market channels. Cash transfers from the Government to 18 million households to compensate for increased gasoline prices will help, but most likely will not be enough to fully mitigate all negative shocks.

Risks and challenges

The current unique situation of Iran's economy presents significant downside risks for the baseline forecast. The most significant risk is a stronger and more protracted impact of the COVID-19 outbreak through various channels including widescale contractions in commerce, tourism and trade as well as higher production costs. Persistence of lower oil prices

and export volumes (e.g., due to a significant decline in China's oil demand) would result in a substantially larger overall shock and fiscal deficit in 2020/21. Other developments including additional US sanctions and FATF's recent designation of Iran as a high-risk country could further restrict Iran's production and trade with neighbors. Intensification of geopolitical tensions coupled with supply push factors could also translate to higher inflation and downward pressure on the currency.

High inflation will quickly erode the real value of distributed cash transfers in subsequent years, as experienced after 2012 and will affect the poorest the most. Progressing COVID-19 outbreak will have a negative impact on wellbeing as well. Poverty trends in the future will depend upon subsequent policy responses. Any increases in the value of cash transfers, along with introducing targeting mechanisms, could help the poor cope with the social-economic shocks, but fiscal constraints may limit the scope for significant response.

TABLE 2 Islamic Republic of Iran / Macro poverty outlook baseline scenario (annual percent change unless indicated otherwise)

	2017/18	2018/19	2019/20 e	2020/21 f	2021/22 f	2022/23 f
Real GDP growth, at constant market prices	3.8	-4.7	-8.2	-3.7	1.3	1.5
Private Consumption	2.5	-2.2	-6.1	-2.1	0.2	1.0
Government Consumption	3.9	4.5	-2.4	-1.0	2.0	2.3
Gross Fixed Capital Investment	1.4	-5.5	-2.0	-7.7	-0.2	1.5
Exports, Goods and Services	1.8	-13.6	-30.4	-4.8	5.1	2.2
Imports, Goods and Services	13.4	-38.3	-26.0	-3.0	3.4	2.1
Real GDP growth, at constant factor prices	3.7	-4.4	-7.3	-3.7	1.3	1.5
Agriculture	3.2	-1.5	2.1	1.5	2.0	2.1
Industry	3.0	-9.5	-16.5	-5.8	1.7	1.9
Services	4.5	0.2	-0.5	-2.9	0.9	1.1
Inflation (Consumer Price Index)	9.6	26.9	34.8	29.8	23.2	21.3
Current Account Balance (% of GDP)	3.5	5.3	-0.4	-2.5	-2.1	-1.9
Fiscal Balance (% of GDP)	-1.8	-1.4	-5.1	-6.5	-6.8	-7.1
Gross Public Debt (% of GDP)	36.1	37.8	43.9	50.6	55.3	61.1
Primary Balance (% of GDP)	-1.7	-1.2	-4.4	-5.2	-5.1	-5.1

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.

Notes: e = estimate, f = forecast.